

UPSTREAM

DOWNSTREAM

FORMATION

ADMINISTRATION

TENDERING

HEAD-CONTRACT
ADMINISTRATION

PROCUREMENT

SUB-CONTRACT
ADMINISTRATION

WHY CONTRACTS MATTER IN CONSTRUCTION

SETTING THE SCENE

- Road construction project
- What's involved?
 - Feasibility and funding
 - Design approvals
 - Bulk earthworks
 - Utilities, lighting
 - Community impacts
 - Etc.



SETTING THE SCENE

- No single company or government could complete all this work
- There needs to be a way for companies to work together



AGREEMENTS

- For any two companies to work together they need to have **agreements**
- The agreement specifies who is responsible for what and what they are getting for it



I'll build this
bridge for you

Contractor

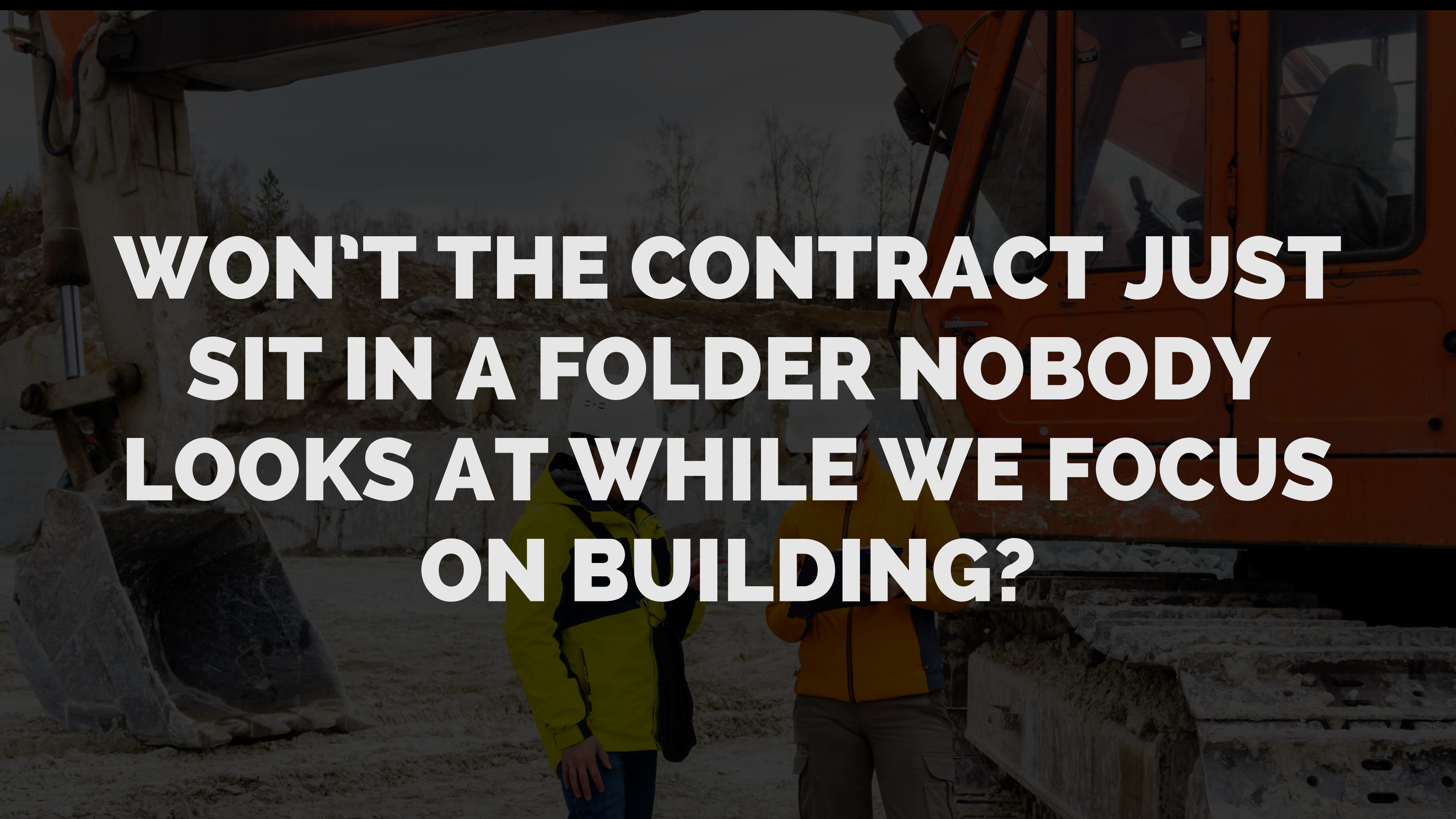


I'll pay you
\$30 million

Project Owner (Govt)

CONTRACTS

- Legal tools used to define and record agreements
- Legally binding; the courts will enforce them
- They define **who** is responsible for **what**
 - What and how are they getting paid
 - When will it get done
 - What risks are they responsible for
 - How to manage change
 - What happens if arguments arise
 - Other terms and conditions

A background image of a construction site. In the foreground, two construction workers wearing hard hats and high-visibility jackets (one yellow, one orange) are standing. Behind them is a large orange excavator. The ground is dirt and there are some concrete blocks or debris. The overall scene is dimly lit, possibly overcast.

**WON'T THE CONTRACT JUST
SIT IN A FOLDER NOBODY
LOOKS AT WHILE WE FOCUS
ON BUILDING?**

EXAMPLE

- Rushed procurement for a major electrical package
- Agreed to a whole lot of things to our client
- Nothing was documented in the scope
- New project manager during the delivery phase
- Disputed everything

WHAT HAPPENS IF YOU DON'T MANAGE A CONTRACT?

- **You do work you did not need to** - and don't get paid for it
- **A delay happens** - but you didn't notify your client in time and you wear the cost
- **Your subcontractor underperforms** - but you can't enforce the contract because it wasn't clear
- **Your client stops paying you** - and you have no idea what to do

THE TWO SIDES OF CONSTRUCTION MANAGEMENT



DELIVERY

Doing a good job



CONTRACTS

Getting paid

CONTRACT MANAGEMENT

- **McKinsey (2017):** "Poor contract management is responsible for an estimated 5–15% loss in project value."
- **World Commerce & Contracting Association:** "Ineffective contract management leads to an average revenue leakage of 9.2% per project."
- **KPMG Construction Survey:** "Only 31% of contractors say they consistently deliver projects on budget — contract controls are a key reason why."

CONTRACT MANAGEMENT



Profit



Risk



Cash-Flow

HIGH PROFIT

- Claim and get paid for variations and scope changes
- Avoid doing unapproved or unnecessary work
- Justify extension of time and recover delay-related costs
- Caputre backcharges, dayworks and entitlements

Result: Increase revenue and decrease cost

HIGH PROFIT

- Claim and get paid for variations and scope changes
- Avoid doing unapproved or unnecessary work
- Justify extension of time and recover delay-related costs
- Caputre backcharges, dayworks and entitlements
- Avoid variations and cost increases from subcontracts

Result: Increase revenue and decrease cost

LOWER RISK

- Clarify who is responsible for **what** and **when**
- Protects against liability creep and unfair instructions
- Avoid liquidated damages
- Transfer risk effectively to subcontractors
- Comply with legislation

Result: Fewer surprises, stronger protection and more control over your obligations

STRONGER CASH-FLOW

- Negotiate favourable payment terms
- Ensure timely and complete progress claims
- Use notice procedures to trigger payments for variations and delays
- Track and follow up on unpaid invoices using formal mechanisms

Result: Get paid before you incur costs

WHAT IS A CONTRACT?

WHAT IS A CONTRACT?

- A legally binding agreement between two parties
- Creates enforceable **rights and obligations**
- Governed by **common law principles**
- Courts can award damages or enforce penalties

LEGAL FOUNDATIONS

- To be legally enforceable, it must meet certain legal conditions:
 - Offer
 - Acceptance
 - Consideration
 - Intention to create legal relations
 - Capacity to contract
 - Certainty of terms

LEGAL FOUNDATIONS

1. Offer

- One party makes a clear proposal to enter into a contract.
- In construction: a tender submission or a written scope of works often acts as the offer.
- The offer must be definite and intended to be accepted.

 “We will construct the pavement works for \$1.2 million, as per the attached scope and drawings.”

LEGAL FOUNDATIONS

2. Acceptance

- The other party agrees to the terms of the offer without change.
- Must be clear, unconditional, and communicated.
- If the response includes changes, it becomes a counter-offer, not acceptance.

 "We accept your tender for the pavement works, in full."

LEGAL FOUNDATIONS

3. Consideration

- Something of value must be exchanged between the parties.
- In construction, this is usually work in exchange for payment.
- Without consideration, the contract is not enforceable (except in deeds).

 “You build the road, we pay \$1.2M” — that’s mutual consideration.

LEGAL FOUNDATIONS

4. Intention to Create Legal Relations

- Both parties must intend to enter a legally binding agreement.
- In commercial contracts, this is presumed by default — you don't need to explicitly say it.

 Tender documents, scope statements, or contract forms show intent.

LEGAL FOUNDATIONS

5. Capacity to Contract

- Both parties must have legal capacity to enter into a contract.
- This means:
 - Being of legal age and sound mind
 - Having authority to sign (e.g. company director or authorised representative)

✗ A subcontract signed by a junior site engineer without authority may not be enforceable.

LEGAL FOUNDATIONS

6. Certainty of Terms

- The contract must be clear enough for a court to interpret and enforce.
- Vague or ambiguous clauses can make a contract unenforceable or open to dispute.

✓ Good contracts define the scope, time, payment, and obligations clearly.

CORE CONCEPTS

ROLES IN CONTRACT MANAGEMENT

BUYER

SELLER

Principal

Acquiring goods
and services

Paying for
something to be
done

Contractor

Providing goods
and services

Receiving payment



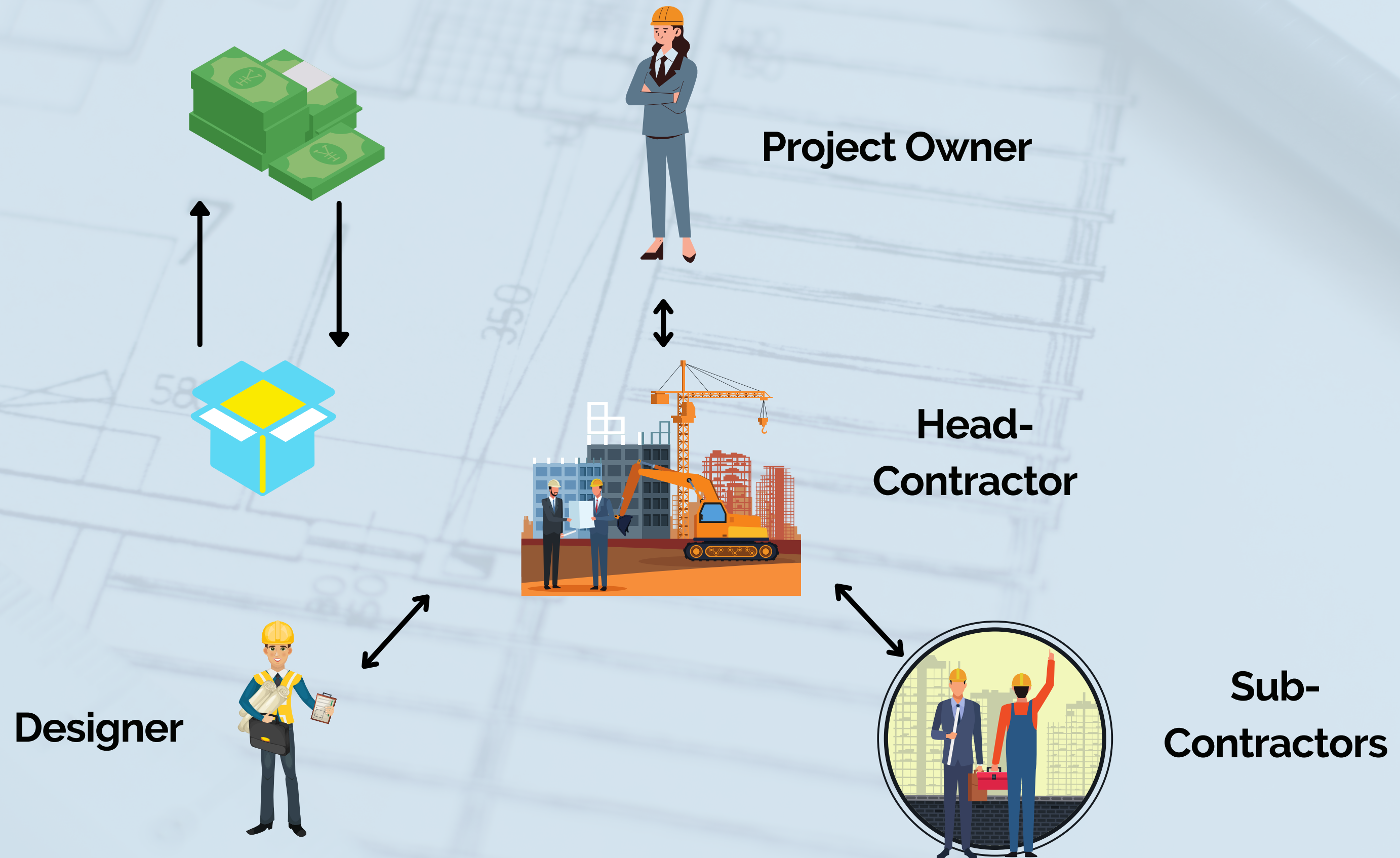
KEY ROLES

- **Principal** (Client/Owner)
 - The party who commission the work and pays for it
 - Sets project objectives, provides access, reviews claims
- **Contractor** (Head-Contractor/General Contractor)
 - Delivers the work as per the contract
 - Manages program, cost subcontractors, and obligations
- **Superintendent/Contract Administrator**
 - Acts as an agent to the client, impartial assessment of claims
- **Subcontractors**
 - Engaged by the contractor to deliver specific scope
- **Architect/Engineer**
 - Prepares drawings and specifications in accordance with principals requirmenets

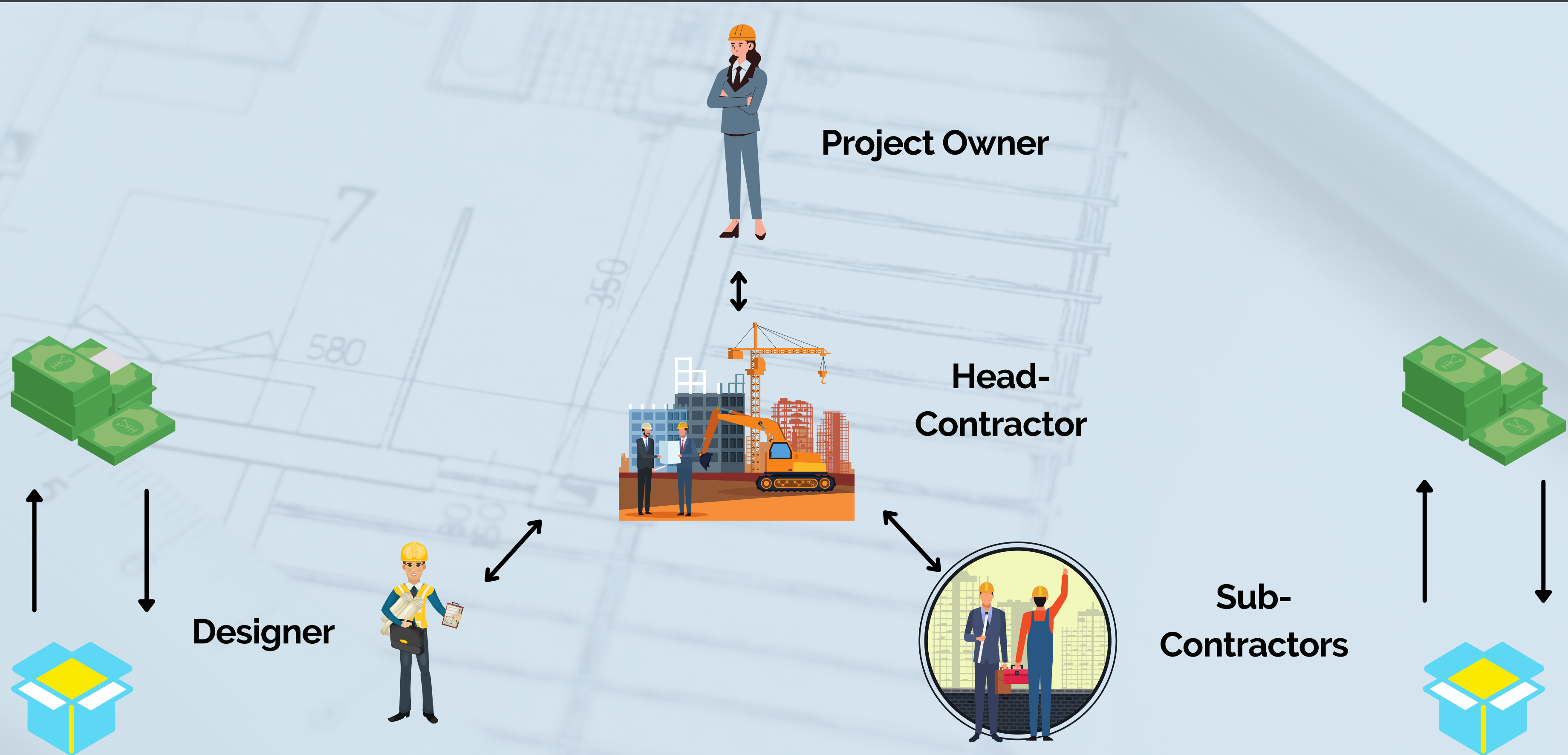
THE CONTRACT MODEL

- Dictates the relationship between all of these parties
- Example
 - Design and Construct
 - Construct Only
 - ECI
 - EPC

EXAMPLE - D&C



EXAMPLE - D&C



THE FLOW-DOWN EFFECT

- Principal's requirements **flow down**
 - Principal → head-contractor
 - Head-contractor → sub-contractors
- Requirements
 - Technical - "150mm thick concrete slab in accordance with"
 - Obligations - "24-month defect liability period"
- Responsibility transfer is essential to manage risk

STAGES



FORMATION

Process through which a contract is created between two parties



ADMINISTRATION

The process of monitoring and facilitating the smooth performance of the contract

UPSTREAM

DOWNSTREAM

FORMATION

ADMINISTRATION

TENDERING

HEAD-CONTRACT
ADMINISTRATION

PROCUREMENT

SUB-CONTRACT
ADMINISTRATION

TENDERING

- Upstream contract formation
 - Review project requirements
 - Submit quote and conditions of offer
 - Negotiate and sign
- Goal
 - Win the job at a price you can deliver
 - Ensure terms and conditions are fair

PROCUREMENT

- Downstream contract formation
 - Identify packages
 - Prepare and Issue RFQs
 - Review and negotiate contracts
- Goal
 - Find the best possible suppliers/subcontractors at the best possible price
 - Align scope, schedule, and responsibilities
 - Transfer risk and obligations

SUB-CONTRACT ADMINISTRATION

- Downstream contract administration
 - Provide access to facilitate the work
 - Manage closely - don't let and forget
 - Maintain alignment with head contract
- Goal
 - Get what you paid for
 - Ensure safety, quality, etc.
 - Manage risk

STRUCTURE & CONTENTS

HOW TO THINK ABOUT CONTRACTS

- Contracts are rule books
- They tell you - what to do when
 - What work do you need to do
 - How to get paid
 - What to do when things change
 - How to complete the project
 - Etc.



SCENARIO 1: LATE DELIVERY OF MATERIALS

34.1 Progress

The *Contractor* shall ensure that *WUC* reaches *practical completion* by the *date for practical completion*.

34.7 Liquidated damages

If *WUC* does not reach *practical completion* by the *date for practical completion*, the *Superintendent* shall certify, as due and payable to the *Principal*, liquidated damages in *Item 24* for every day after the *date for practical completion* to and including the earliest of the *date of practical completion* or termination of the *Contract* or the *Principal* taking *WUC* out of the hands of the *Contractor*.

SCENARIO 2: FAILURE TO RECTIFY DEFECTS

29.3 Defective work

If the *Superintendent* becomes aware of *work* done (including material provided) by the *Contractor* which does not comply with the *Contract*, the *Superintendent* shall as soon as practicable give the *Contractor* written details thereof. If the subject *work* has not been rectified, the *Superintendent* may direct the *Contractor* to do any one or more of the following (including times for commencement and completion):

- a) remove the material from the *site*;
- b) demolish the *work*;
- c) reconstruct, replace or correct the *work*; and
- d) not deliver it to the *site*.

If:

- a) the *Contractor* fails to comply with such a *direction*; and
- b) that failure has not been made good within 8 days after the *Contractor* receives written notice from the *Superintendent* that the *Principal* intends to have the subject *work* rectified by others,

the *Principal* may have that *work* so rectified and the *Superintendent* shall certify the cost incurred as moneys due from the *Contractor* to the *Principal*.

STRUCTURE OF A CONTRACT

- **General conditions of contract**
 - Standard terms used across many projects (e.g. FIDIC, NEC, AS4000)
 - Cover rights and responsibilities (payment, time variations, etc.)
- **Special conditions**
 - Project-specific amendments to the general conditions
 - These override or modify standard rules and often contain bigger risks
- **Attachments/Contract documents**
 - Supporting docs that form part of the agreement - scope of works, technical specifications, drawings, BoQ, etc.

CORE CONCEPTS

Scope of Works - What you need to do

- The scope you're contracted to complete
- Components
 - Deliverables (what)
 - Boundaries (where the work stops)
 - Exclusions (what's not included)
 - Interfaces (dependencies on others)

CORE CONCEPTS

Scope of Works - Why is it so often misunderstood?

- Complex technical scope
- Misalignment and misinterpretations
- Documentation of agreements
- Order of precedence (e.g. drawing vs spec vs BoQ)

CORE CONCEPTS

Scope of Works - Tools

- Tools: scope checklists, WBS, scope briefings
- Subcontractor scopes and back-to-back clauses
- Scope creep and undocumented changes

CORE CONCEPTS

Time - when you need to do the work

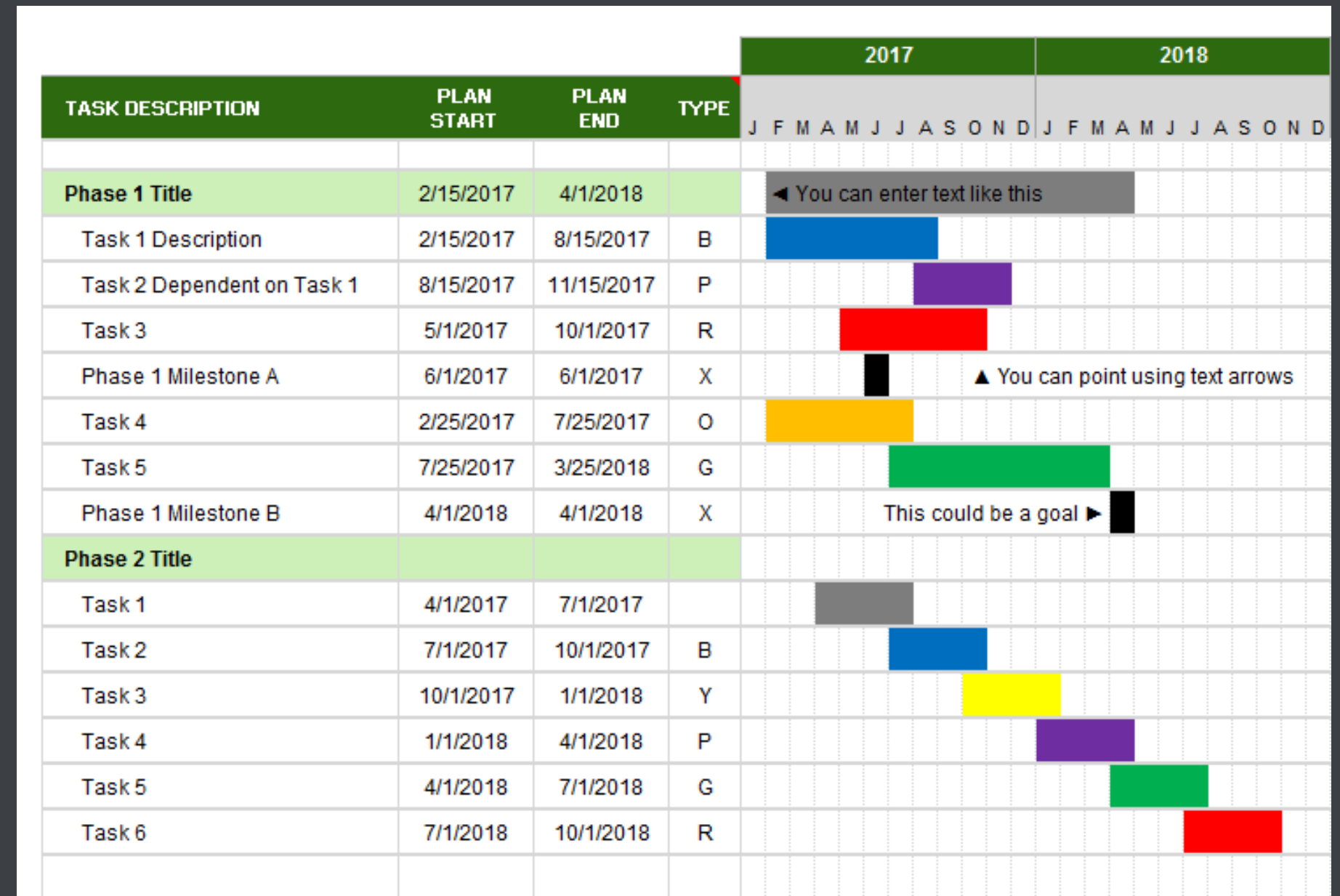
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- Key dates: commencement, milestones, completion
- Sectional completion
- Responsibilities to maintain a program

CORE CONCEPTS

Time - Core Concepts

- Liquidated damages (LDs)
- Construction program
 - Critical path
 - Float
 - Access
- Delay vs disruption



CORE CONCEPTS

Time - Extensions of Time

- Maintain a construction program
- Demonstrate a critical path activity has been delayed
 - I.e. IFC design by 15th of Feb → critical path delay
- Claim
 - Additional time → adjust contract completion date
 - Additional cost → Indirect costs

CORE CONCEPTS

Payment - How you receive payment for the work completed

Includes

- Payment mechanism
- Pricing schedule
- Claim cycle - monthly, milestone based
- Security - retention/bank guarantee

Cash is king in construction

FIXED-COST

Fixed-fee paid
for delivery of
complete
scope of works

SCHEDULE OF RATES

Fixed amount
paid per-unit. I.e.
\$128 per m of
sub-surface
drainage

COST-REIMBURSABLE

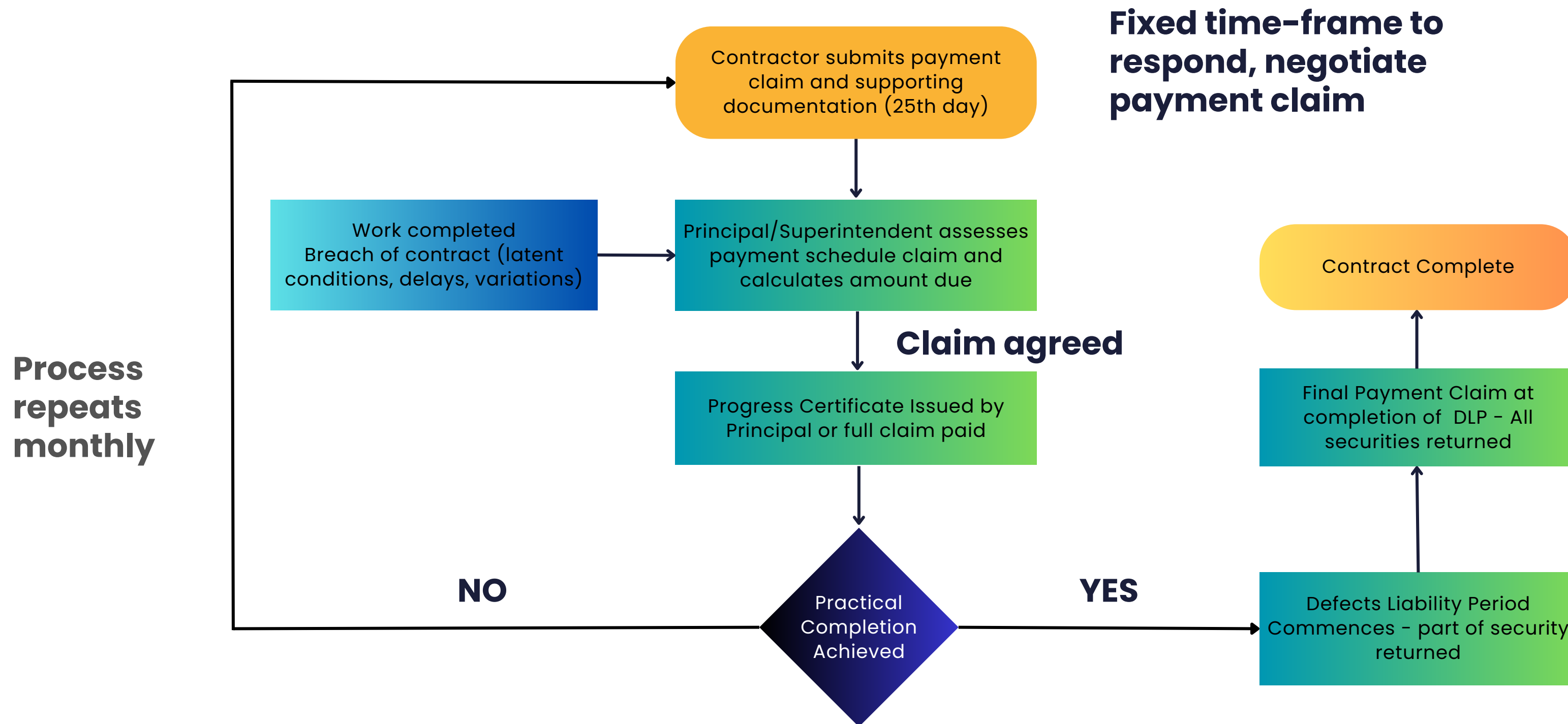
Payment for actual
costs of the works
completed plus an
agreed upon margin.
Evidence of actual
costs provided

TARGET COST

Project costs
agreed. Any
savings or
overruns shared
between parties

PAYMENT MECHANISMS

PAYMENT CLAIMS



EXAMPLE PAYMENT CLAIM

								Claimed		Assessed	
	<i>UpRoad Civil - Street Lighting Works</i>			Contract Award		Dec-20		Jan-21		Jan-21	
Pay Item	Pay Item Description	Unit	Unit Price	Qty	Cost						
	Separable Portion A - Street Lighting Civil Works										
1	Trench Type A	l/m	\$ 450.00	1,200.00	\$ 540,000.00	193	\$ 86,850.00	490	\$ 220,500.00	380	\$
2	Trench Type B	l/m	\$ 380.00	2,800.00	\$ 1,064,000.00	256	\$ 97,280.00	980	\$ 372,400.00	980	\$
3	Trench Type C	l/m	\$ 240.00	330.00	\$ 79,200.00	43	\$ 10,320.00	135	\$ 32,400.00	120	\$
4	Light Pole Foundations	ea	\$ 3,500.00	136.00	\$ 476,000.00	6	\$ 21,000.00	35	\$ 122,500.00	28	\$
5	Electrical Pits	ea	\$ 1,200.00	450.00	\$ 540,000.00	8	\$ 9,600.00	123	\$ 147,600.00	120	\$
6	Distribution Board Foundations	ea	\$ 5,800.00	6.00	\$ 34,800.00	0	\$ -	2	\$ 11,600.00	0	\$
	Separable Portion A Total				\$ 2,734,000.00		\$ 225,050.00		\$ 907,000.00		\$
	Separable Portion B - Supply and Install Electrical Works										
7	Light Poles	ea	\$ 6,000.00	136.00	\$ 816,000.00	0	\$ -	28	\$ 168,000.00	28	\$
8	Luminaires	ea	\$ 490.00	136.00	\$ 66,640.00	0	\$ -	0	\$ -	0	\$
9	Distribtuion Boards	ea	\$12,300.00	6.00	\$ 73,800.00	0	\$ -	0	\$ -	0	\$
10	Sub-Circuit Cabling	l/m	\$ 36.00	14,500.00	\$ 522,000.00	0	\$ -	0	\$ -	0	\$
11	Sub-Mains Cabling	l/m	\$ 168.00	1,400.00	\$ 235,200.00	0	\$ -	0	\$ -	0	\$
	Separable Portion B Total				\$ 1,713,640.00		\$ -		\$ 168,000.00		\$
	Total Contract				\$ 4,447,640.00		\$ 225,050.00		\$ 1,075,000.00		\$
	Variation A						\$ 13,560.00				
	Variaton B								\$ 26,700.00		\$
	Variation C								\$ 4,320.00		\$
	Total Contract and Variations				\$ -		\$ 238,610.00		\$ 1,106,020.00		\$ 1,

CORE CONCEPTS

Security - Financial guarantees to complete the works

- Retention
- Bank guarantees
- Value of the work completed and not paid for

Contract specifies

- Form
- Amount
- Timing for returns
- Process

CORE CONCEPTS

Security

Wherever the contractor is in default and failing to complete the WUC.

Additional costs incurred by the principal can be recovered from the security.

Examples:

- A failure to rectify defective work where the contractor has been given an opportunity to do so but is delaying or refusing to do so
- For any urgent clean-up or to make the site safe when the contractor is not capable of doing so
- Or, where works are taken out of the contractor's hands and given to another contractor, to rectify any short-fall

CORE CONCEPTS

Insurance and Risk - Who covers what

- Insurance provides compensation for specified loss events and is a risk management tool.
- Mandated in construction contracts to protect the principal or third parties if a risk event plays out and the contractor is unable to cover the cost.
- Types needed depend on the works being completed by the contractor
- The contract will nominate the insurances required and the level of cover.

CORE CONCEPTS

Insurance and Risk - Types

- **Contractor's all risk insurance** covers loss or damage to the works for the project duration and is taken out by the head-contractor.
- **Public liability insurance** covers damage to people and property outside of the work site and is required for all parties involved in a construction project.
- **Workers compensation insurance** covers the costs associated with injuries and rehabilitation to construction workers and is generally mandated by law.
- **Professional indemnity** insurance is required for technical expertise and covers the provider for any breach of duty.
- Other types of insurances may be required depending on the specific project circumstances and requirements, such as marine transit insurance.

CORE CONCEPTS

Insurance - Example - Sever Weather Event - Who covers it?

16A Insurance of the Works

The Alternative in *Item 23(a)* applies.

Alternative 1: Contractor to insure

Before commencing *WUC*, the *Contractor* shall insure all the things referred to in [subclause 14.1](#) against loss or damage resulting from any cause until the *Contractor* ceases to be responsible for their care.

Without limiting the generality of the obligation to insure, such insurance shall cover the *Contractor's* liability under [subclause 14.2](#) and things in storage off *site* and in transit to the *site* but may exclude:

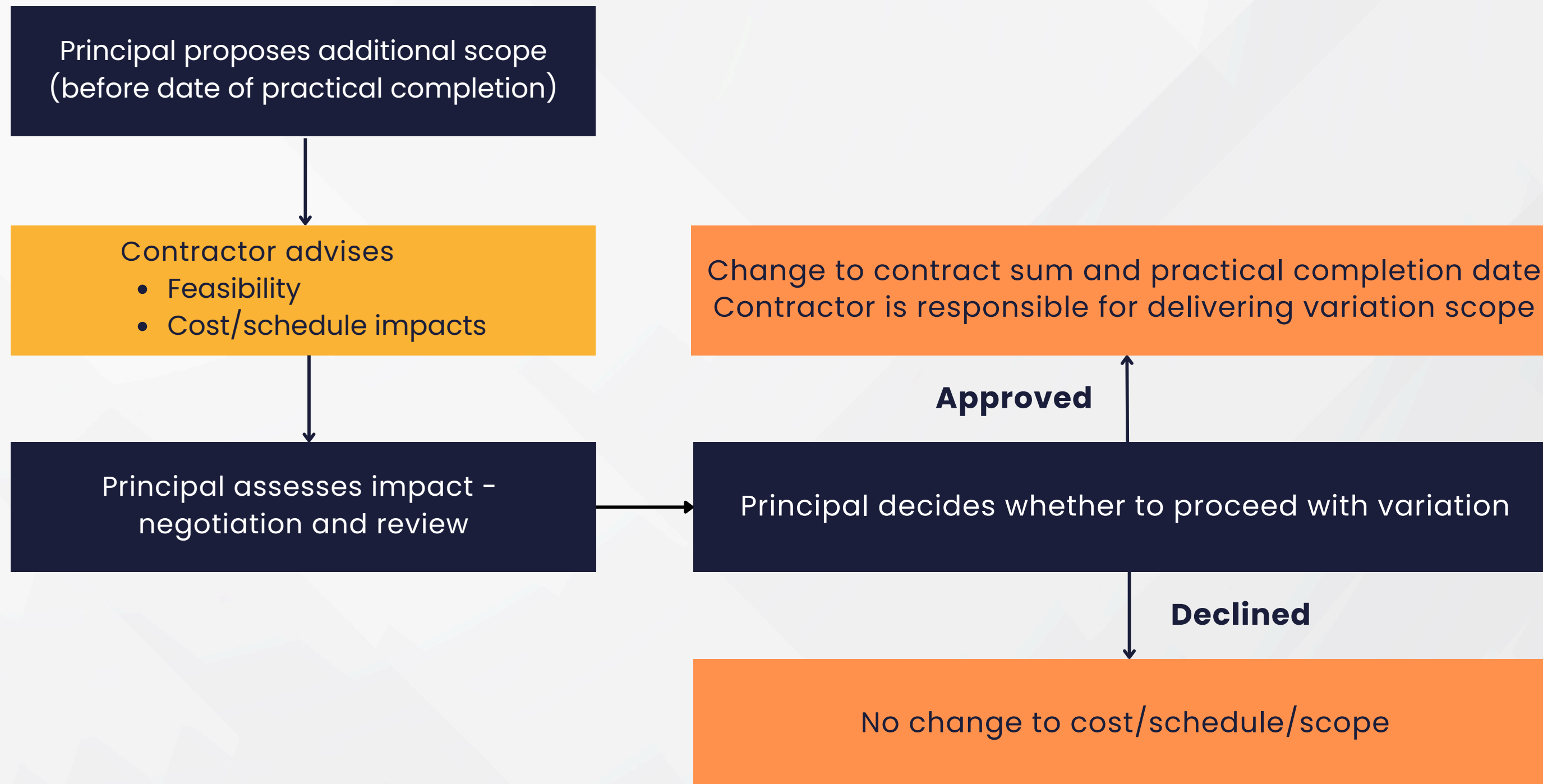
- (a) the cost of making good fair wear and tear or gradual deterioration, but shall not exclude the loss or damage resulting therefrom;
- (b) the cost of making good faulty design, workmanship and materials, but shall not exclude the loss or damage resulting therefrom;
- (c) consequential loss of any kind, but shall not exclude loss of or damage to *the Works*;
- (d) damages for delay in completing or for the failure to complete *the Works*;
- (e) loss or damage resulting from ionising radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel resulting from any cause;
- (f) loss or damage resulting from the *excepted risks* referred to in [paragraphs \(b\) and \(c\) of subclause 14.3](#).

CORE CONCEPTS

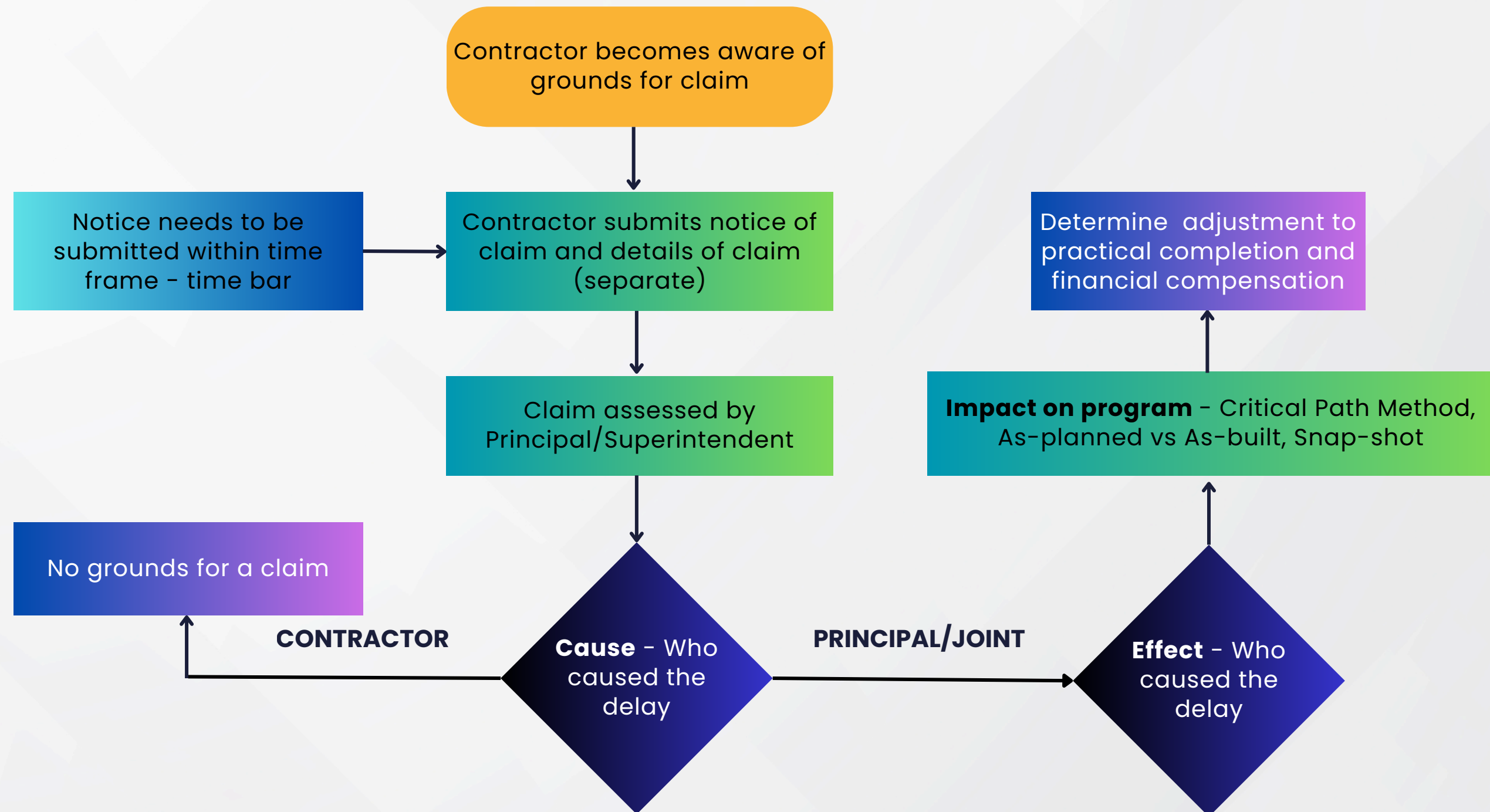
Variations - How to manage change

- Change in scope, cost or time
- Types:
 - Instructed
 - Claimed

VARIATIONS-PROPOSED



VARIATIONS-CLAIMED



CORE CONCEPTS

Disputes - What happens when things go wrong

- What causes disputes
 - Payment issues
 - Variation disagreements
 - Delay and EoT

CORE CONCEPTS

Disputes - What happens when things go wrong

- Resolution mechanism
 - Site Meeting → Senior Reps → Mediation → Arbitration
- Security of Payment Act (Australia)
- Managing disputes
 - Records
 - Avoid escalation

CORE CONCEPTS

Termination - How the contract can be ended

- When and how
 - For cause - serious breach
 - For convenience - no fault
 - Mutual termination
- Procedure
 - Notice periods
 - Make-safe and demobilisation
 - Financial settlement
- Risk and protection
 - Termination clauses
 - Insolvency provisions

TYPES OF CONTRACTS

TYPES

- Who does what?
 - Design/Construction
- How is payment structured?
- Who bears the risk?
 - Cost
 - Time
 - Design errors
- Use cases

CONSTRUCT ONLY

- **Definition:** Client provides the full design; contractor builds
 - Client engages architect/engineer directly
 - Issues contractor IFC design
 - Contractor quotes to design
 - Contractor builds to design
- Payment - Fixed- Lump-Sum
- Risk - Contractor bears risk of construction costs, but not design issues
- Use - Traditional projects with complete design

DESIGN & CONSTRUCT

- **Definition:** Contractor responsible for both design and construction
 - Client prepares concept design and specification
 - Contractors quote to complete detailed design and construction
 - Client selects preferred contractor (combination of price and technical solution)
 - Contractor manages the architect/engineering
 - Contractors constructs
- Payment - Fixed-lump sum
- Risk - contractor bears design and construction risk (except changes to concept design/spec)
- Use cases - single-point accountability, construction input into the design

COST-PLUS

- **Definition:** Contractor is reimbursed for actual costs plus a fee
 - Client chooses contractor based on experience, capability
 - Design typically by client
 - Contractor builds at clients direction
- Payment - Actual costs + fixed fee or percentage
- Risk - client bears financial risk; contractor has less incentive to be efficient
- Use cases - time-critical or poorly defined projects

TARGET COST

- **Definition:** Contractor and client agree on a target cost; gain/loss shared
 - Client and contractor agree maximum cost and pain/gain share
 - Contractor delivers projects
- Payment: Actual cost + pain/gain share
- Risk: Shared
- Use case - Complex or high-risk

CONSTRUCTION MANAGEMENT

- **Definition:** Client hires a construction manager to manage multiple trade contracts
 - Client selects contractor based on experience, capability
 - Contractor managers trade contractors but they are engaged directly by the client
- **Payment:** CM is paid a fee, sub-contractors engaged on fixed costs
- **Risk:** Client bears all risks, contractor is only a co-ordinator
- **Use Cases:** Fast-tracked or complex projects where contractors would not take on risk

CONTRACT MANAGEMENT

CONTRACT MANAGEMENT

- A contract is not just a legal document — it's a rule book that defines how the project should be delivered.
- But knowing the rules isn't enough. **Contract management** is about playing the game well:
 - Understanding your obligations
 - Managing risk
 - Securing entitlements
 - Navigating challenges

THE GOAL

1. Make sure you get paid AND get what you paid for
2. Minimise disputes and variations
3. Handle delays, claims and risks
4. Ensure you're not exposed to liabilities

CONTRACT MANAGEMENT

01

FORMATION

Setting up for success -
price and terms

02

ADMINISTRATION

Executing the work while
managing claims, change
and risk

CONTRACT ADMINISTRATION

Business as Usual (BAU) activities cover the sets of activities undertaken when everything is going as planned. This means the project scope is unfolding as expected and both parties are complying with their rights and obligations.

CONTRACT ADMINISTRATION

Change/Issue Management The management of exceptional circumstances and issues as they arise. These processes arise as a result from changing circumstances and conditions or poor performance by one of the parties.

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DOMAINS

Tendering (Head Contract Formation): Understanding the client's contract, preparing your bid, and negotiating terms.

Procurement (Subcontract Formation): Engaging subcontractors and suppliers with terms that match your own contract (flowdown).

Head Contract Administration: Managing your obligations to the client: scope, time, variations, claims, reporting.

Subcontract Administration: Managing your subcontractors to ensure they perform and don't cost you extra.

TOOLS AND TECHNIQUES

- **Tendering:** Contract reviews, risk registers, qualifications register
- **Procurement:** Scope of works, flowdown, subcontract agreements
- **Head contract administration:** Program, variation registers, site diaries
- **Subcontract administration:** Program, variation registers, records

TENDERING - HEAD- CONTRACT FORMATION

TENDERING

Head-contract formation

Goal:

- Sign a contract that you can (will) make money on
- Price - what you get paid
- Terms and conditions - what you are responsible for, how you get paid, etc.
- Opportunities for profit

TENDERING

Why is this hard?

- Commoditized industry - fixed price, race to the bottom
- Flow-down effect
- Complex scope - lots of ways to get caught out
- Unfair terms and conditions

TENDERING - PROCESS

1. Receive Tender Documents

- Includes drawings, specifications, scope of works, contract conditions, schedules, etc.
- May come via tender portals, direct invites, or public listings.

Should we tender this project?

- Competition
- Price
- Risk

TENDERING - PROCESS

2. Review the Documents

- Perform a high-level review of:
 - Scope clarity – what's included/excluded?
 - Program – can the timeframes be met?
 - Contract terms – are there major risks (e.g. LDs, unreasonable security)?

Key tools:

- RFI/Bid clarification register
- Qualification register

TENDERING - PROCESS

3. Prepare the Estimate

- Build up your cost based on scope, quantities, production rates, and market pricing.
- Identify provisional items, exclusions, and areas of uncertainty
- Risk transfer to sub-contractors

Tools:

- Qualification/Assumptions register
- Estimate
- Sub-contractor procurement (back to back risk transfer)

TENDERING - PROCESS

4. Document Assumptions and Qualifications

Clearly record:

- What's included and excluded
- Key assumptions (e.g. site access, weather, working hours)
- Anything unusual or unclear in the documents

Tools:

- Qualification register

TENDERING - PROCESS

5. Review the Contract Terms

This step can be done as part of contract negotiations

Conduct a contract risk review:

- Payment terms
- Security and retention
- Liquidated damages
- Insurance obligations
- EOT and variation clauses

TENDERING - PROCESS

6. Submit Letter of Offer

- Submit your price and terms in a formal letter of offer or tender response.
- Include your qualifications and any requested changes to the contract (ideally tracked in a contract review or tender qualifications table).

Tools:

- Letter of offer - clearly document what's in and out of scope

TENDERING - PROCESS

7. Negotiation and award

- Enter negotiations to align the contract terms with your offer.
- Update any changes to price or program that result from clarified scope or terms.
- Finalise and sign the head contract once terms are agreed.

Tools:

- Detailed contract review
- Subcontract risk transfer

TENDERING - PROCESS

Your Price, My Terms

The reality is people pay attention to price more than terms

Terms matter just as much (if not more)

Your opportunity - lower your price while negotiating your terms



*YOUR
PRICE
MY
TERMS*

PROCUREMENT - SUB- CONTRACT FORMATION

PROCUREMENT

Sub-contract Formation

Engaging sub-contractors and suppliers to deliver parts of the project on your behalf

Transfer risk and responsibility from the head-contract to the subcontractor at the best possible price

PROCUREMENT

Why is procurement hard?

- **Complex scopes:** You're packaging works across trades, drawings, and specs.
- **They know more than you:** Subcontractors often understand their scope better than you do.
- **Confusing documents:** Ambiguous or incomplete info makes it hard to get clear prices.
- **Timing pressure:** Procurement happens fast — sometimes after you've already won the job.

PROCUREMENT - PROCESS

1. Define the Packages

- Break the job into clear work packages (e.g. earthworks, concrete, electrical)
- Include drawings, specifications, and project requirements

Tools:

1. Scope of Work document
2. Work Breakdown Structure

PROCUREMENT - PROCESS

1. Send out RFQs

- Request pricing from multiple subcontractors
- Provide tender documents and a submission deadline

Tools:

- RFQ templates
- Drawing register
- Procurement schedule

PROCUREMENT - PROCESS

2. Send out RFQs

- Request pricing from multiple subcontractors
- Provide tender documents and a submission deadline

Tools:

- RFQ templates
- Drawing register
- Procurement schedule
- Draft sub-contract agreement

PROCUREMENT - PROCESS

3. Review and Adjust Quotes

- Compare quotes based on scope coverage, exclusions, terms and price
- Watch for scope gaps, assumptions and hidden costs

Tools

- Quote comparison matrix
- Tender clarification log

PROCUREMENT - PROCESS

4. Select Preferred Subcontractor

- Based on value, capability, program and risk
- Will require negotiation on scope, terms or price

Tools:

- Subcontract agreement
- Internal approvals

PROCUREMENT - PROCESS

5. Execute COntract

- Formalise agreement including:
 - Price
 - Scope
 - Program
 - Terms and conditions (mirroring the head contract)

Tools:

- Subcontract agreement template
- Flowdown clause checklist
- Subcontractor onboarding checklist

PROCUREMENT

- Document everything
- Ensure your sub-contract mirrors your head-contract (back to back)
 - Start during head-contract formation
- Protect your costs by locking in scope and responsibility CLEARLY

HEAD-CONTRACT ADMINISTRATION

HEAD-CONTRACT ADMINISTRATION

Ongoing administration of the contract with your client.

Ensuring that you deliver what's required and get paid what you're entitled to

HEAD-CONTRACT ADMINISTRATION

Why it's hard?

- **High admin load:** Dozens of tasks, forms, deadlines, and notices
- **Risk/Responsibility transfer:** You are now on the clock to deliver the scope
- **Shifting ground:** Scope, program, and conditions constantly change
- **Strict procedures:** Miss a notice or deadline and you risk losing your entitlement

HEAD-CONTRACT ADMINISTRATION

Business As Usual - Regular on-going tasks

- **Progress claims:** Monthly (or milestone) invoicing — requires detailed substantiation
- **Project reporting:** Updates on progress, risks, delays, etc. (weekly/monthly)
- **Program updates:** Maintain and submit current construction program (including delay impacts). Co-ordinate access

HEAD-CONTRACT ADMINISTRATION

Business As Usual - Regular on-going tasks

- **Meeting minutes:** Record discussions, decisions, and action items (site meetings, coordination)
- **Compliance records:** SWMS, insurances, QA documents, subcontractor onboarding
- **RFIs:** Requests for information

HEAD-CONTRACT ADMINISTRATION

Change/Issue Management - What happens when things change?

- EOT Claims for delays
- Variations - claimed or requested
- Backcharges and credits - quality issues, scope overlaps, etc.

HEAD-CONTRACT ADMINISTRATION

Change/Issue Management - What happens when things change?

- Notice requirements what time frames and approvals do you need to give
- Substantiation - use records, photos, programs , correspondence
- Documentation

HEAD-CONTRACT ADMINISTRATION

Change/Issue Management - What happens when things change?

- Variation register
- Delay/event notification templates
- RFI logs
- Claims and correspondence folders

HEAD-CONTRACT ADMINISTRATION

Secure your entitlements, reduce disputes and protect margins

- You risk underpayment
- You lose the ability to claim for time or cost changes
- You absorb risk that should sit with the client

SUB-CONTRACT ADMINISTRATION

SUBCONTRACT ADMINISTRATION

Managing subcontractors and suppliers to ensure they deliver on time, to spec and within budget - while protecting your own commercial position

Getting what you paid for

SUBCONTRACT ADMINISTRATION

The Goal

Ensuring subcontractors deliver their scope at the agreed cost, on time and without exposure to risk

This means:

- Avoiding scope gaps or delays
- Preventing backcharges or disputes
- Ensuring you flow down head contract obligations
- Maintaining cashflow and commercial control

SUBCONTRACT ADMINISTRATION

Why It's Hard

- They're on site, but you're accountable: You carry the risk of their delays, defects, or underperformance
- Poor scopes lead to disputes: If scope isn't clear, it becomes a battle of assumptions
- They have their own priorities: Many subcontractors are juggling multiple jobs
- Challenging personalities: It's part technical, part relationship management

SUBCONTRACT ADMINISTRATION

Core BAU Activities

- Subcontractor onboarding: Insurances, SWMS, site inductions
- Subbie meetings and coordination: Interface with program and other trades. Access to site
- Progress claims and approvals: Assess work complete and certify for payment
- Tracking variations: Ensure any scope changes are costed and approved in real time
- Program monitoring: Are they ahead, behind, or on track?

SUBCONTRACT ADMINISTRATION

Core BAU Activities

Tools:

- Onboarding checklist
- Claim assessment sheet
- Subcontract variation log
- Site diary/diary report log

SUBCONTRACT ADMINISTRATION

Change/Issue Management

- Subcontractor delays: Late starts, low resourcing, missed dependencies
- Disputes over scope: “Not included” claims from subs
- Defects or rework: Who pays for it?
- Safety or compliance issues: Can lead to site shutdowns or penalties

SUBCONTRACT ADMINISTRATION

How to Manage:

- **Notices and backcharges:** Document issues and notify the subbie formally
- **Variation claims to/from subbies:** Must match head contract entitlements
- **Withholding payments (legally):** Follow process under contract and relevant legislation
- **Clear records:** Photos, meeting minutes, correspondence trail

SUBCONTRACT ADMINISTRATION

Tools commonly used:

- Subcontractor delay notice templates
- Non-conformance reports (NCRs)
- Backcharge register
- Communication logs (email/file notes)

**10 CONTRACT
MANAGEMENT
MISTAKES THAT WILL
SEND YOU BROKE**

PACKAGING

Title: 10 Contract Management Mistakes that will send you broke

Thumbnail: Real Stories, Real \$\$\$

HOOK

- Most contractors at best leave money on the table
- And at worst can go broke because they don't manage their contracts properly
- In this video, I'm going to show you 10 mistakes that can send you broke and how to avoid them

STRUCTURE

- This video is going to be broken down into contract formation - mistakes before the contract gets signed
- And contract administration - mistakes when we deliver the project
- Ok, so the goal of contract formation is to sign a contract with a price and terms that maximise our chances of making money.
- Here is how you can mess this up

#1 FOCUSING ON PRICE INSTEAD OF TERMS

"If contractor A submits a quote for \$100k and contractor B submits \$200k — who's cheaper? You can't tell until you read the terms."

- The obvious answer is A, and 90% of the industry would agree
- Most contractors focus purely on price and ignore terms
- Contractor A might exclude 90% of the job, not sign up to Liquidated damages, and not want to provide retention while B includes everything.

The cheaper price might just be for different terms

✓ **Takeaway:** Don't just negotiate price — negotiate scope, exclusions, payment terms, LDs, everything. Terms and scope are your opportunity, your client will almost certainly be focused on price, Get a contract that matches your offer and protects your risk.

#2 TRUSTING RELATIONSHIPS OVER WRITING

"On my last project, we had a great relationship with the client. Everyone was aligned — until they changed project managers. The new PM went straight to the contract and scope of works and started rejecting claims because they weren't written down."

- This is a classic mistake — assuming a good relationship will protect you. It might, but it's not guaranteed
- As soon as personnel change, your handshake deals and 'understandings' are worthless.
- Don't kid yourself that this job is different — it's not.

✓ Takeaway: No matter how friendly the client is, always confirm everything in writing — scope inclusions, rates, directions, even agreements made in meetings.

#3 NOT AGREEING TO A PROGRAM

"You'd be surprised how many contractors sign contracts with a completion date and LDs — but no schedule. Think about that, they're agreeing to build something by a certain date but they don't even know if they can"

- Clients often push fixed end dates without defining access dates, approvals, or inputs.
- If you don't submit a program showing what you need from them and when, you're signing up for delays that will be your problem that you can't control.
- Without a schedule, you can't prove delays or defend your position.

✅ Takeaway: Always submit a construction program with your tender. Show how you'll build it, your sequence, and what you need from the client (like design approvals or access).

#4 SIGNING UP TO HARSH PAYMENT TERMS

"Contractors pay wages weekly, suppliers upfront — then sign 45-day EOM payment terms with 10% retention. They run out of money before they get paid."

- This is one of the fastest ways to go broke: poor cash flow.
- Don't just accept whatever the client gives you — push back.
- Even if you don't win every point, you'll improve your cash position.

✓ Takeaway: Push for:

- 20-day payment terms
- 5% retention
- Interest on late payments
- Mobilisation and early costs front-loaded in your payment schedule

#5 BACK-TO-BACK RISK TRANSFER WITH SUB-CONTRACTORS

"If you're relying on subcontractor pricing in your tender, you're basically signing a contract with your client and guaranteeing your sub-contractors price

- If you sign your head contract and delay locking in your subs, you're fully exposed.
- If prices change or scope shifts, you'll be left holding the bag.
- This is particularly risky on long-lead trades or specialist scopes.

✓ Takeaway: Back-to-back all critical terms — scope, program, rates, and risk. Get your key subcontractors locked in the moment you sign the main contract.

This takes us to a signed contract and set up project, what's next?

#6 EXTRA WORK WITHOUT WRITTEN VARIATIONS

"I've had clients verbally ask for extra work, then be shocked when the variation bill lands. They'll deny it ever happened. It's happened to me — and probably to everyone else watching this."

- Verbal variation approvals are not enforceable.
- If you proceed on verbal instructions, you're gambling with your own cash.
- Don't wait until the final account to argue — it's too late by then.

✓ Takeaway: Get every variation in writing. Whether it's a direction, an approval, or a confirmation — email, site instruction, or signed variation order. No exceptions.

#7 GETTING PAID EARLY AND OFTEN

"Start of the job? Submit a test claim. Get the process working before you actually need the money."

- Most contractors wait too long to get their payment cycle running.
- Then, when they submit a big first claim, it gets rejected due to admin issues or unfamiliarity with the process.
- The result? Delays in cashflow when you need it most.

✓ Takeaway: Submit a trial claim as soon as possible — even if it's for \$0. Start claiming for mobilisation, design work, prelims — get money flowing early.

#8 BUNDLING VARIATIONS INTO ONE MESSY CLAIM

"We were on a big electrical job — there were 10 separate changes to the lighting. Different fittings, quantities, locations. We bundled it all into one big claim — and it got rejected. We couldn't justify it, and only got a fraction approved."

- Clients get confused. They lose trust when you're vague.
- Big bundled claims are easier to reject or pick apart.

✓ Takeaway: Submit small, clear variations with specific details:

- What changed
- Why it changed
- What's the cost impact
- Include revised drawings or mark-ups

#9 NOT MAINTAINING YOUR PROGRAM

"The moment the job starts, the original program gets thrown out. The mistake is not replacing it."

- Many teams treat the program like a tender formality — but once the job changes, they stop using it.
- If it's not updated, it can't help you manage or protect yourself.
- You need the program to manage the site and to make delay claims.

✓ Takeaway: Keep your program live. Update it weekly. Track actual vs planned. Use it to drive progress meetings and defend EOT claims.

#10 LETTING AND FORGETTING YOUR SUB-CONTRACTS

"We sign the contract, send them to site — then assume they'll just deliver. But subbies will underperform, make dumb mistakes, and we'll end up responsible."

- Choosing a good subcontractor is only half the job — managing them is the other.
- If you assume they'll 'just know what to do', you're setting yourself up for rework, delays, and cost blowouts.

✓ Takeaway: Micro-manage your subcontractors. Track everything:

- QA signoffs
- Work completed vs program
- Safety and site presence
- Inspect what you expect — because you'll be the one explaining failures to the client